Industry

912 Contractors—Federal Government

912 Contractors—Federal Government

10 Overall

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

912-10-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
912-10-05-2	Amended	Accounting Standards Update No. 2014-09	05/28/2014
912-10-15-3	Amended	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

912-10-05-1 The Contractors—Federal Government Topic provides incremental guidance for government contractors. See also Subtopic 910-20.

912-10-05-2 This Topic includes the following Subtopics:

a. Overall

b. Contract Costs

c. Subparagraph superseded by Accounting Standards Update No. 2014-09.

d. Income Statement

e. Subparagraph superseded by Accounting Standards Update No. 2014-09.

f. Changing Prices

g. Risks and Uncertainties

h. Receivables

i. Inventory

j. Liabilities

k. Contingencies

l. Subparagraph superseded by Accounting Standards Update No. 2014-09.

m. Cost of Sales and Services

n. Compensation—Retirement Benefits

o. Research and Development

p. Interest.

912-10-05-3 Entities electing to do business with the federal government will find a customer who behaves, in some significant ways, very differently from commercial customers. This unique behavior results from the customer being a sovereign power that conducts its procurement activities under specific laws and implementing regulations. These procurement statutes and regulations govern the process the federal government must follow in its business dealings with private industry. They cover such critical matters as how the federal government selects, monitors, and pays its contractors.

912-10-05-4 While most industries include entities that are government contractors, certain industries are more heavily involved in providing goods and services to the government. These industries include manufacturing, architect-engineering, professional services, construction, aerospace, shipbuilding, and technology.

912-10-05-5 Entities engaged in government contracting are subject to the risks associated with their respective industries, as well as additional risks that generally are not encountered by other business entities in the commercial sector. These additional risks are caused principally by the highly regulated environment in which government contractors operate. Such risks include, but are not necessarily limited to, all of the following:

a. Contractors are subject to extensive and complex cost accounting and other regulations, and in some circumstances, significant penalties even for violations of relatively immaterial dollar amounts (such as penalties under the False Claims Act).

b. Business and accounting practices are subject to frequent scrutiny by the government.

c. The government has unilateral rights not found in commercial relationships.

d. If contracts or contract changes are negotiated based on cost, cost accounting considerations play a vital role in pricing and administering government contracts and, consequently, determining the contractor's reported financial position and results of operations.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General Note for Financial Instruments: Some of the items subject to the guidance in this Subtopic are financial instruments. For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic 825. See Section 825-10-15 for guidance on the scope of the Financial Instruments Topic.

General

> Overall Guidance

912-10-15-1 The Subtopics within the Contractors—Federal Government Topic only provide incremental industry-specific guidance for the entities defined in this Scope Section, or as further defined in the Scope Sections of the individual Subtopics. Entities within the scope of this Topic shall also comply with the applicable standards not included in this Topic. Except where the text clearly indicates otherwise, the term *contractor* is used to denote either a prime contractor or a subcontractor, and the term *contract* to denote either a prime contract or a subcontract.

> Entities

912-10-15-2 The guidance in this Topic applies to all entities that engage in federal government contracts.

> Transactions

912-10-15-3 The guidance in this Topic applies to all of the following transactions and activities:

a. Cost-plus-fixed-fee contracts

b. Subparagraph superseded by Accounting Standards Update No. 2014-09.

c. Fixed-price war and defense supply contracts terminated, in whole or in part, for the convenience of the government.

912-10-15-4 The guidance in this Topic with respect to fixed-price war and defense supply contracts terminated, in whole or in part, for the convenience of the government does not specifically apply to terminated cost-plus-fixed-fee contracts nor to contracts for facilities or services. However, the conclusions reached herein may serve as guides for the accounting applicable to such contracts.

20 Glossary

ⓘ **General Note:**The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Cost-Plus-Fixed-Fee Contract

A contract under which the contractor is reimbursed for costs plus the provision for a fixed fee.

912 Contractors—Federal Government

20 Contract Costs

00 Status

ⓘ **General Note:**The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

912-20-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
912-20-45-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
912-20-45-4	Amended	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

912-20-05-1 This Subtopic provides guidance to government contractors on accounting costs related to federal government contracts.

> Federal Acquisition Legislation and Regulations

912-20-05-2 All federal government contracts and contract modifications for supplies and services or experimental, developmental, or research work, negotiated on the basis of cost with commercial entities (whether on a fixed-price or cost-plus basis), must adhere to the cost principles mandated by Federal Acquisition Legislation and Regulations in pricing negotiated supply, service, experimental, developmental, and research contracts and contract modifications whenever cost analysis is to be performed in the procurement process.

912-20-05-3 In addition, compliance with Federal Acquisition Legislation and Regulation cost principles is mandatory if an entity is involved in any of the following activities:

a. Determining reimbursable costs under cost-reimbursement contracts, including any cost-reimbursement subcontracts, and the cost-reimbursement portion of time and materials contracts

b. Negotiating overhead rates

c. Proposing, negotiating, and determining costs under terminated fixed-price, cost-reimbursement contracts

d. Establishing the final price of fixed-price incentive contracts

e. Redetermining prices of prospective and retroactive price redetermination contracts

f. Pricing changes in contract modifications.

> Convenience Terminations

912-20-05-4 Termination of war and defense contracts for the convenience of the government is a means of adjusting the production of materials to the varying requirements of the military services. Because terminations transfer active contracts in process of execution into claims in process of liquidation, they, like contract renegotiations and cost-plus-fixed-fee contracts, may have important effects on the financial statements of defense contractors.

912-20-05-5 Paragraph not used.

15 Scope and Scope Exceptions

General Note:The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

912-20-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section 912-10-15.

20 Glossary

General Note:The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Subcontractor Claims

Those obligations of a contractor to a subcontractor that arise from the subcontractor's costs incurred through transactions that were related to a contract terminated but did not result in the transfer of billable materials or services to the contractor before termination.

25 Recognition

General Note:The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

> Costs Allocated to Contracts

912-20-25-1 Indirect costs that are allowable or allocable under pertinent government contract regulations may be allocated to federal government contracts as indirect costs if otherwise allowable under generally accepted accounting principles (GAAP) .

912-20-25-2 Paragraph not used.

> Convenience Terminations

912-20-25-3 Subcontractor claims and other vendor claims shall be recorded as liabilities at the estimated amounts payable in conformity with the provisions of Subtopic 450-20. To the extent such amounts are recoverable by the prime contractor, they shall be included as part of the claim.

> Default Terminations

912-20-25-4 The rights of the contracting parties in a default termination of a fixed-price contract differ significantly from those in a convenience termination; consequently, the accounting must reflect these differences. Contractors shall record, in addition to normal contract liabilities, those liabilities arising from a default termination (for example, damages, excess reprocurement costs, and progress payments to be repaid).

912-20-25-5 If termination for default results in a reduction of previously recorded earnings the resulting income effect shall be included in the loss on termination of the contract in the current period as a change in an accounting estimate in conformity with Subtopic 250-10. In such circumstances, adjustments of prior-period amounts are not appropriate.

> Program Accounting

912-20-25-5A Program accounting is a method of accounting for the costs of certain products manufactured for delivery under production-type contracts. Under this method, costs are accumulated and accounted for by programs rather than by individual units or individual contracts. A program consists of the estimated number of units of a product to be produced by an entity in a continuing, long-term production effort for delivery under existing and anticipated contracts. The program is used as the accounting cost center for accumulating costs and allocating costs to cost of sales.

912-20-25-6 In practice, the program method of accounting has had very limited applications, such as in major commercial aircraft production sold to commercial (or, in some cases, commercial and government) customers. It is not often used because of all of the following:

- a. The significant uncertainties associated with making reasonably dependable estimates of the total number of units to be produced and sold
- b. The length of time to produce and sell them
- c. The associated production costs and selling prices.

912-20-25-7 The unique aspects of the government procurement process make estimating the market and timing of deliveries extremely difficult. For example, estimating quantities and prices of future purchases by the government would be affected directly by the amount and timing of funding allocated to the program. If funding were reduced or eliminated, the effect on the program could be substantial.

912-20-25-8 In addition, the government, rather than the contractor, often retains rights to tooling and design data. This limits the potential market of the contractor and increases the risk of estimating the total market for a program by narrowing its potential customer base. Therefore, the program method of accounting is not appropriate for government contracts or subcontracts except as provided in paragraph 912-20-25-6.

45 Other Presentation Matters

General Note:The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

912-20-45-1 Paragraph superseded by Accounting Standards Update No. 2014-09.

912-20-45-2 Paragraph not used.

912-20-45-3 Paragraph not used.

> Income Statement

912-20-45-4 For guidance on presentation of terminated contracts, see Section 912-220-45.

912-20-45-5 A loss on termination of a contract for default shall either be reported as a separate item in the income statement or disclosed in accordance with paragraph 912-20-50-1.

50 Disclosure

ⓘ **General Note:**The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

> Default Terminations

912-20-50-1 A loss on termination of a contract for default that is not reported as a separate item in the income statement pursuant to paragraph 912-20-45-5 shall be disclosed in the notes to financial statements in conformity with Subtopic 450-20.

912 Contractors—Federal Government

210 Balance Sheet

00 Status

ⓘ **General Note:**The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

912-210-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Advance Payments	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Cost-Plus-Fixed-Fee Contract	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
912-210-05-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
912-210-15-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014

912-210-45-1 through 45-8	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
912-210-50-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

912-210-05-1 Paragraph superseded by Accounting Standards Update No. 2014-09.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

912-210-15-1 Paragraph superseded by Accounting Standards Update No. 2014-09.

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master

Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Editor's Note: All glossary terms have been removed from this Subtopic. See this Subtopic's Status Section (Section 00) and/or this Section's archive for more information.

45 Other Presentation Matters

General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

912-210-45-1 Paragraph superseded by Accounting Standards Update No. 2014-09.

912-210-45-2 Paragraph superseded by Accounting Standards Update No. 2014-09.

912-210-45-3 Paragraph superseded by Accounting Standards Update No. 2014-09.

912-210-45-4 Paragraph superseded by Accounting Standards Update No. 2014-09.

912-210-45-5 Paragraph superseded by Accounting Standards Update No. 2014-09.

912-210-45-6 Paragraph superseded by Accounting Standards Update No. 2014-09.

912-210-45-7 Paragraph superseded by Accounting Standards Update No. 2014-09.

912-210-45-8 Paragraph superseded by Accounting Standards Update No. 2014-09.

50 Disclosure

ⓘ **General Note:**The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

912-210-50-1 Paragraph superseded by Accounting Standards Update No. 2014-09.

912 Contractors—Federal Government

220 Income Statement—Reporting Comprehensive Income

00 Status

ⓘ **General Note:**The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

Status

912-220-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
912-220-05-1	Added	Maintenance Update 2017-19	11/15/2017
912-220-15-1	Added	Maintenance Update 2017-19	11/15/2017
912-220-45-1 through 45-4	Added	Maintenance Update 2017-19	11/15/2017

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

912-220-05-1 This Subtopic provides guidance on presentation in the income statement for amounts relating to terminated contracts.

15 Scope and Scope Exceptions

General Note:The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

912-220-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section 912-10-15.

45 Other Presentation Matters

ⓘ **General Note**:The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

912-220-45-1 Paragraph superseded by Accounting Standards Update No. 2014-09.

912-220-45-2 Paragraph superseded by Accounting Standards Update No. 2014-09.

> Terminated Contracts

912-220-45-3 Any items the contractor retains without claim for cost or loss shall remain as inventory or deferred charges in the contractor's accounts.

912-220-45-4 Paragraph superseded by Accounting Standards Update No. 2014-09.

912 Contractors—Federal Government

225 Income Statement

00 Status

ⓘ **General Note**:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

912-225-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
912-225-05-1	Superseded	Maintenance Update 2017-19	11/15/2017

912-225-05-1	Amended	Accounting Standards Update No. 2014-09	05/28/2014
912-225-45-1	Superseded	Maintenance Update 2017-19	11/15/2017
912-225-45-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
912-225-45-2	Superseded	Maintenance Update 2017-19	11/15/2017
912-225-45-2	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
912-225-45-3	Superseded	Maintenance Update 2017-19	11/15/2017
912-225-45-4	Superseded	Maintenance Update 2017-19	11/15/2017
912-225-45-4	Superseded	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

912-225-05-1 Paragraph superseded by Maintenance Update 2017-19.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

912-225-15-1 Paragraph superseded by Maintenance Update 2017-19.

45 Other Presentation Matters

ⓘ **General Note**:The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

912-225-45-1 Paragraph superseded by Maintenance Update 2017-19.

912-225-45-2 Paragraph superseded by Maintenance Update 2017-19.

912-225-45-3 Paragraph superseded by Maintenance Update 2017-19.

912-225-45-4 Paragraph superseded by Maintenance Update 2017-19.

912 Contractors—Federal Government

235 Notes to Financial Statements

00 Status

ⓘ **General Note**:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

912-235-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
912-235-05-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
912-235-15-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
912-235-50-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

ⓘ **General Note:**The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

912-235-05-1 Paragraph superseded by Accounting Standards Update No. 2014-09.

15 Scope and Scope Exceptions

ⓘ **General Note:**The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

912-235-15-1 Paragraph superseded by Accounting Standards Update No. 2014-09.

50 Disclosure

ⓘ **General Note:**The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

912-235-50-1 Paragraph superseded by Accounting Standards Update No. 2014-09.

912 Contractors—Federal Government

255 Changing Prices

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

912-255-05-1 This Subtopic provides guidance to government contractors related to disclosure of supplementary information about financial reporting and changing prices.

15 Scope and Scope Exceptions

General Note:The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

912-255-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section 912-10-15.

50 Disclosure

General Note:The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

> Financial Reporting and Changing Prices

912-255-50-1 For those contractors electing to disclose supplementary information on the effects of changing prices in accordance with Subtopic 255-10 all of the following matters shall be taken into consideration in calculating the purchasing power gain or loss on net monetary items:

a. Contract inventories are not considered to be monetary assets, because the negotiated price of the contract under which the inventories are produced provides for the estimated effects of inflation during the period of contract performance.

b. Advances related to fixed-price contracts, although considered current liabilities, shall be classified as nonmonetary items because they represent the government's claims to nonmonetary goods or services; in other words, these advances are not rights to receive money. Additionally, obligations under warranties shall be classified as nonmonetary items because they obligate the contractor to furnish goods or services at future prices.

c. Accrued losses on contracts shall be classified as monetary items because they are, in essence, future accounts payable.

912 Contractors—Federal Government

275 Risks and Uncertainties

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

912-275-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
912-275-05-1	Amended	Accounting Standards Update No. 2014-09	05/28/2014
912-275-50-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
912-275-50-2	Amended	Maintenance Update 2016-11	06/27/2016
912-275-50-4	Amended	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

912-275-05-1 This Subtopic provides guidance to government contractors related to incremental disclosures about risks and uncertainties associated with contracts terminated for the convenience of the government.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

912-275-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section 912-10-15.

50 Disclosure

General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

912-275-50-1 Paragraph superseded by Accounting Standards Update No. 2014-09.

> Termination Claims

912-275-50-2 In some circumstances it will be impossible to make a reasonable estimate of a termination claim in time for inclusion in the financial statements of the period in which the termination occurs. Effect may then be given in the statements to those parts of the termination claim that are determinable with reasonable certainty and disclosure made, by note or otherwise, of the status of the remainder.

912-275-50-3 If the contractor's claim includes items of known controversial nature it shall be stated at the amount estimated to be collectible. If a particular termination claim or part thereof is so uncertain in amount that it cannot be reasonably estimated, it is preferable not to give effect to that part of the claim in the financial statements. If the total of such undeterminable elements is material, the circumstances shall be disclosed in statements issued or available to be issued (as discussed in Section 855-10-25) before the removal of the uncertainty. In an extreme circumstance involving undeterminable claims, consideration shall be given to delaying the issuance of financial statements until necessary data are available.

912-275-50-4 The effect of a contract termination shall be reflected in the financial statements of the contractor in the period in which the termination occurs, or earlier if the termination is a subsequent event occurring before the financial statements are issued or are available to be issued (as discussed in Section 855-10-25) and attributable to conditions that existed at the date of the balance sheet. If sufficient information is not available to predict the effect of a very recent termination, then the best information available shall be disclosed in the notes to financial statements in conformity with Topic 450. The effective date of termination shall be the date at which the contractor acquires the right to receive payment on the terminated portion of the contract.

912-275-50-5 Significant items of a known controversial nature also shall be disclosed in the notes to financial statements, although estimates of ultimate amounts to be realized may not be determinable.

912-275-50-6 The government contractor is subject to a degree of risk different from its commercial counterpart because of the unilateral contract right of the government to terminate a contract. If there are indications that a contract termination may occur and the termination would have a material effect on the contractor's operations, disclosure of the circumstances and the potential effects shall be made in the notes to financial statements. Indicators of a potential contract termination include notice of a possible termination, contract performance problems, procurement cutbacks, and so forth.

912-275-50-7 Paragraph 420-10-50-1 provides guidance on information about contract terminations to be disclosed in notes to financial statements.

912 Contractors—Federal Government

310 Receivables

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

912-310-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Contract Asset	Added	Accounting Standards Update No. 2014-09	05/28/2014
912-310-25-1	Amended	Accounting Standards Update No. 2014-09	05/28/2014
912-310-25-2	Amended	Accounting Standards Update No. 2014-09	05/28/2014
912-310-25-6	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
912-310-25-8	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
912-310-25-9	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
912-310-45-1	Amended	Maintenance Update 2018-12	09/10/2018
912-310-45-9	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
912-310-45-10	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
912-310-50-4	Amended	Maintenance Update 2016-11	06/27/2016

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

912-310-05-1 This Subtopic provides guidance to government contractors related to the recognition, presentation, and disclosure of receivables resulting from federal government contracts.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General Note for Financial Instruments: Some of the items subject to the guidance in this Subtopic are financial instruments. For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic 825. See Section 825-10-15 for guidance on the scope of the Financial Instruments Topic.

General

> Overall Guidance

912-310-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section 912-10-15.

20 Glossary

ⓘ **General Note**:The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Advance Payments

Government advances of cash as a revolving fund or against the final payment due under an agreement.

Contract

An agreement between two or more parties that creates enforceable rights and obligations.

Contract Asset

An entity's right to consideration in exchange for goods or services that the entity has transferred to a customer when that right is conditioned on something other than the passage of time (for example, the entity's future performance).

Cost-Plus-Fixed-Fee Contract

A contract under which the contractor is reimbursed for costs plus the provision for a fixed fee.

Customer

A party that has contracted with an entity to obtain goods or services that are an output of the entity's ordinary activities in exchange for consideration.

Performance Obligation

A promise in a contract with a customer to transfer to the customer either:

a. A good or service (or a bundle of goods or services) that is distinct
b. A series of distinct goods or services that are substantially the same and that have the same pattern of transfer to the customer.

25 Recognition

ⓘ **General Note**:The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General Note for Fair Value Option: Some of the items subject to the guidance in this Subtopic may qualify for application of the Fair Value Option Subsections of Subtopic 825-10. Those Subsections (see paragraph 825-10-05-5) address circumstances in which entities may choose, at specified election dates, to measure eligible items at fair value (the fair value option). See Section 825-10-15 for guidance on the scope of the Fair Value Option Subsections of the Financial Instruments Topic.

General

> Cost-Plus-Fixed-Fee Contracts

912-310-25-1 Unbilled costs and fees under cost-plus-fixed-fee contracts are receivables or contract assets rather than advances or inventory.

912-310-25-2 Payments on account of the fees (minus amounts withheld until completion) are made from time to time as specified in the agreements, usually subject to the approval of the contracting officer. In most circumstances the amount of each payment is determined by the ratio of expenditures made to the total estimated expenditures rather than on the basis of deliveries or other measures of progress toward complete satisfaction of a performance obligation in accordance with the guidance in paragraphs 606-10-25-31 through 25-37 and paragraphs 606-10-55-16 through 55-21.

912-310-25-3 The principal reason for the existence of unbilled costs is the time usually required, after receipt of material or expenditures for labor and other costs , to assemble data for billing. The right to bill usually exists upon expenditure or accrual, and that right represents a receivable rather than an advance or inventory.

> Termination Claims

912-310-25-4 Disposal credits are amounts deducted from the contractor's termination claim receivable by reason of the contractor's retention, or sale to outsiders, of some or all of the termination inventory for which claim was made. In the circumstance of items retained, either as scrap or for use by the contractor, the amount of the credit shall be determined by agreement between the contractor and a representative of the government. The sale of inventory items by the contractor shall be likewise subject to approval by the government, except as permitted by regulation. Because the amount of the contractor's termination claim is properly recorded as a sale, any elements included in that claim for items of inventory retained by the contractor are, in effect, reacquired by the contractor and shall be treated as purchases at the agreed value. Amounts received for items sold to others with the approval of the government are collections for the account of the government and shall be applied as a reduction of the termination claim receivable. Inventories or other items that are retained by the contractor after termination without claim for loss shall not be included as an element of the termination claim.

912-310-25-5 A contractor whose contract is terminated may prefer to retain the termination inventory for use in other production or for disposal at the contractor's risk. For these or other reasons the contractor may prefer to make no claim against the government or a higher-tier contractor. In such no-cost settlements there is no sale of inventory or other items to the government and no occasion to accrue any profit arising from the termination. The costs otherwise applicable to the contract shall be given their usual treatment in the accounts. Items of inventory or other property retained, having been previously recorded, require no charge to purchases but shall be treated in accordance with the usual procedures applicable to such assets.

912-310-25-6 Paragraph superseded by Accounting Standards Update No. 2014-09.

> Progress Payments

912-310-25-7 The accounting for progress payments under a government contract depends on the progress-payments clause as follows:

a. If legal title to the related accumulated costs of contracts in progress vests with the U.S. government on the contractor's receipt of progress payments, progress payments received on fixed-price contracts shall be applied by individual contract first to amounts carried in unbilled receivables, with any remainder applied to accumulated costs of contracts in progress (often referred to as inventories).

b. If a legal determination is made that the U.S. government receives only a secured interest in the accumulated costs of contracts in progress, progress payments received shall be accounted for as a financing transaction.

912-310-25-8 Paragraph superseded by Accounting Standards Update No. 2014-09.

912-310-25-9 Paragraph superseded by Accounting Standards Update No. 2014-09.

35 Subsequent Measurement

General Note:The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

> Inventory Items Related to Termination Claims

912-310-35-1 A purchase of inventory items recognized in accordance with the guidance in paragraph 912-330-25-1 shall be applied, together with other disposal credits, against the termination claim receivable.

45 Other Presentation Matters

General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

> Balance Sheet

· > Government Contract Receivables

912-310-45-1 Government contract receivables usually are shown separately from other receivables in the balance sheet (or otherwise disclosed in the notes to financial statements).

· > Cost-Plus-Fixed-Fee Contracts

912-310-45-2 There is a difference in character between billed items and unbilled costs and such amounts shall be presented separately on the balance sheet.

· > Termination Claims

912-310-45-3 Termination claims shall be classified as a current asset.

912-310-45-4 Advance payments received before termination may be shown in financial statements after termination as a deduction from the claim receivable.

912-310-45-5 Termination has the effect of converting an active contract in process into a claim, or, from an accounting standpoint, from contract inventories and other charges into an account receivable. This receivable arises in the regular course of business; it is part of the working capital; and in view of the provisions made for financial assistance to the contractor during the period of termination, collection in large part may be expected within a relatively short time. The termination claim shall therefore be classified as a current asset, unless there is an indication of extended delay, such as serious disagreement pointing to probable litigation, which would exclude it from this classification.

912-310-45-6 Although a claim may be composed of several elements representing reimbursable items of special equipment, deferred charges, inventories, and other items, as well as claims for profit, it is preferable to record the claim in one account. The total of termination claims shall be presented separately from other receivables. Claims directly against the government shall be segregated from claims against other contractors.

912-310-45-7 To assure adequate financial assistance to contractors, legislation and regulations provide in some circumstances for partial payments and in others for such payments or guaranteed loans from the effective date of termination until final settlement. Partial payments shall be recorded as reductions of the termination claim receivable.

912-310-45-8 The costs and expenses chargeable to the termination claim are given their usual classification in the accounts.

912-310-45-9 Paragraph superseded by Accounting Standards Update No. 2014-09.

912-310-45-10 Paragraph superseded by Accounting Standards Update No. 2014-09.

> Cash Flow Statement

912-310-45-11 In reporting cash flows from operating activities, progress, and advance payments received on contracts shall be reported gross, regardless of whether those payments have been applied against unbilled contract receivables or accumulated costs of contracts in progress in the balance sheet. The manner of reporting depends on whether the entity uses the direct method or indirect method as follows:

a. Direct method. Entities that use the direct method in reporting cash flows from operating activities shall show progress and advance payments received on contracts as a separate major class of cash receipts.

b. Indirect method. Entities that use the indirect method shall show progress and advance payments as a separate adjustment in reconciling net income to net cash provided for operating activities.

50 Disclosure

General Note:The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

> Termination Claims

912-310-50-1 For those parts of the termination claim that are included in financial statements after termination, full disclosure of the essential facts shall be made.

912-310-50-2 The termination claim shall be separately disclosed.

> Progress Payments

912-310-50-3 The amount of progress payments offset against unbilled receivables shall be disclosed.

> Advance Payments

912-310-50-4 Advance payments received on the contract before its termination shown as a deduction from the claim receivable in accordance with paragraph 912-310-45-4 shall be explained in a note to financial statements.

912 Contractors—Federal Government
330 Inventory

00 Status

General Note: The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

912-330-00-1 No updates have been made to this subtopic.

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

912-330-05-1 This Subtopic provides guidance to government contractors related to inventory reacquired in a contract termination for the convenience of the government and the costs included in contract inventory.

15 Scope and Scope Exceptions

ⓘ **General Note**:The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

912-330-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section 912-10-15.

25 Recognition

ⓘ **General Note**:The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

> Termination Claims

912-330-25-1 If inventory items whose costs are included in the termination claim are subsequently reacquired by the contractor the reacquisition value of those items shall be recorded as a purchase and applied in accordance with the guidance in paragraph 912-310-35-1.

912-330-25-2 So called no-cost settlements—those in which the contractor waives the right to make a claim—result in no transaction that could be reflected in sales. The costs applicable to the contract shall be given their usual classification. The inventory retained shall not be treated as a purchase but shall be accounted for according to the usual methods and standards applicable to inventories.

912-330-25-3 For a discussion of inventory retained or sold to outsiders that relates to terminated contracts for the convenience of the government, see paragraphs 912-310-25-4 through 25-5.

50 Disclosure

ⓘ **General Note**:The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

> Contract Inventory

912-330-50-1 A contractor's accounting policies with respect to costs included in inventory shall be disclosed.

912 Contractors—Federal Government

405 Liabilities

00 Status

ⓘ **General Note**:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

912-405-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
912-405-05-1	Amended	Accounting Standards Update No. 2014-09	05/28/2014
912-405-25-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
912-405-25-2	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
912-405-45-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
912-405-45-2	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
912-405-45-6	Superseded	Accounting Standards Update No. 2014-09	05/28/2014

912-405-50-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
912-405-50-2	Amended	Maintenance Update 2016-11	06/27/2016
912-405-50-3	Amended	Maintenance Update 2016-11	06/27/2016

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

912-405-05-1 This Subtopic provides guidance to government contractors on accounting for liabilities associated with claims of subcontractors on cost-plus-fixed-fee contracts and progress payments.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General Note for Financial Instruments: Some of the items subject to the guidance in this Subtopic are financial instruments. For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic 825. See Section 825-10-15 for guidance on the scope of the Financial Instruments Topic.

General

> Overall Guidance

912-405-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section 912-10-15.

20 Glossary

ⓘ **General Note:**The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Advance Payments

Government advances of cash as a revolving fund or against the final payment due under an agreement.

Cost-Plus-Fixed-Fee Contract

A contract under which the contractor is reimbursed for costs plus the provision for a fixed fee.

25 Recognition

ⓘ **General Note:**The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

ⓘ **General Note for Fair Value Option:**Some of the items subject to the guidance in this Subtopic may qualify for application of the Fair Value Option Subsections of Subtopic 825-10. Those Subsections (see paragraph 825-10-05-5) address circumstances in which entities may choose, at specified election dates, to measure eligible items at fair value (the fair value option). See Section 825-10-15 for guidance on the scope of the Fair Value Option Subsections of the Financial Instruments Topic.

General

912-405-25-1 Paragraph superseded by Accounting Standards Update No. 2014-09.

912-405-25-2 Paragraph superseded by Accounting Standards Update No. 2014-09.

> Progress Payments

912-405-25-3 Paragraph 912-310-25-7 provides guidance on the circumstances in which progress payments received shall be accounted for as a financing transaction.

45 Other Presentation Matters

General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

912-405-45-1 Paragraph superseded by Accounting Standards Update No. 2014-09.

912-405-45-2 Paragraph superseded by Accounting Standards Update No. 2014-09.

> Balance Sheet

· > Fixed-Price Contract Terminations

912-405-45-3 Loans negotiated on the security of the termination claim shall be shown as current liabilities.

912-405-45-4 Termination loans are liabilities to third parties, even though guaranteed in whole or in part by the government, and shall be presented in the balance sheet as liabilities, with appropriate cross-reference to the related claim or claims.

912-405-45-5 If a terminated contract is one on which advance payments had previously been received, the financial statements of the contractor issued before final collection of the claim shall reflect any balance of those advances as deductions from the claim receivable.

912-405-45-6 Paragraph superseded by Accounting Standards Update No. 2014-09.

> Cash Flow Statement—Progress and Advance Payments

912-405-45-7 If progress and advance payments are accounted for as borrowings, such amounts shall be reported as cash received from financing activities.

50 Disclosure

ⓘ **General Note:**The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

912-405-50-1 Paragraph superseded by Accounting Standards Update No. 2014-09.

> Termination Claims

912-405-50-2 Financial statements issued before the termination claim is recorded shall disclose, by note or otherwise, the relationship of advance payment or guaranteed loan liabilities to a possible termination claim receivable.

912-405-50-3 To the extent that the amounts of subcontractors' claims are not reasonably determinable, disclosure shall be made by note or otherwise in the financial statements.

912 Contractors—Federal Government
450 Contingencies

00 Status

ⓘ **General Note:**The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related

Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

912-450-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
912-450-25-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

912-450-05-1 This Subtopic provides guidance to government contractors related to contingencies associated with contracts terminated for the convenience of the government and subcontractor claims under terminated contracts.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

912-450-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section 912-10-15.

20 Glossary

ⓘ **General Note:**The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Subcontractor Claims

Those obligations of a contractor to a subcontractor that arise from the subcontractor's costs incurred through transactions that were related to a contract terminated but did not result in the transfer of billable materials or services to the contractor before termination.

25 Recognition

ⓘ **General Note:**The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

912-450-25-1 Paragraph superseded by Accounting Standards Update No. 2014-09.

> Subcontractor Claims

912-450-25-2 For a discussion of subcontractor claims as they relate to contingencies, see paragraph 912-20-25-3.

912 Contractors—Federal Government

605 Revenue Recognition

00 Status

ⓘ **General Note:**The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

912-605-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Cost-Plus-Fixed-Fee Contract	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
912-605-05-1 through 05-5	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
912-605-15-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
912-605-25-1 through 25-38	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
912-605-50-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
912-605-50-2	Superseded	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

ⓘ **General Note:**The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

912-605-05-1 Paragraph superseded by Accounting Standards Update No. 2014-09.

912-605-05-2 Paragraph superseded by Accounting Standards Update No. 2014-09.

912-605-05-3 Paragraph superseded by Accounting Standards Update No. 2014-09.

912-605-05-4 Paragraph superseded by Accounting Standards Update No. 2014-09.

912-605-05-5 Paragraph superseded by Accounting Standards Update No. 2014-09.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General Note for Financial Instruments: Some of the items subject to the guidance in this Subtopic are financial instruments. For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic 825. See Section 825-10-15 for guidance on the scope of the Financial Instruments Topic.

General

912-605-15-1 Paragraph superseded by Accounting Standards Update No. 2014-09.

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Editor's Note: All glossary terms have been removed from this Subtopic. See this Subtopic's Status Section (Section 00) and/or this Section's archive for more information.

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General Note for Fair Value Option: Some of the items subject to the guidance in this Subtopic may qualify for application of the Fair Value Option Subsections of Subtopic 825-10. Those Subsections (see paragraph 825-10-05-5) address circumstances in which entities may choose, at specified election dates, to measure eligible items at fair value (the fair value option). See Section 825-10-15 for guidance on the scope of the Fair Value Option Subsections of the Financial Instruments Topic.

General

912-605-25-1 Paragraph superseded by Accounting Standards Update No. 2014-09.

912-605-25-2 Paragraph superseded by Accounting Standards Update No. 2014-09.

912-605-25-3 Paragraph superseded by Accounting Standards Update No. 2014-09.

912-605-25-4 Paragraph superseded by Accounting Standards Update No. 2014-09.

912-605-25-5 Paragraph superseded by Accounting Standards Update No. 2014-09.

912-605-25-6 Paragraph superseded by Accounting Standards Update No. 2014-09.

912-605-25-7 Paragraph superseded by Accounting Standards Update No. 2014-09.

912-605-25-8 Paragraph superseded by Accounting Standards Update No. 2014-09.

912-605-25-9 Paragraph superseded by Accounting Standards Update No. 2014-09.

912-605-25-10 Paragraph superseded by Accounting Standards Update No. 2014-09.

912-605-25-11 Paragraph superseded by Accounting Standards Update No. 2014-09.

912-605-25-12 Paragraph superseded by Accounting Standards Update No. 2014-09.

912-605-25-13 Paragraph superseded by Accounting Standards Update No. 2014-09.

912-605-25-14 Paragraph superseded by Accounting Standards Update No. 2014-09.

912-605-25-15 Paragraph superseded by Accounting Standards Update No. 2014-09.

912-605-25-16 Paragraph superseded by Accounting Standards Update No. 2014-09.

912-605-25-17 Paragraph superseded by Accounting Standards Update No. 2014-09.

912-605-25-18 Paragraph superseded by Accounting Standards Update No. 2014-09.

912-605-25-19 Paragraph superseded by Accounting Standards Update No. 2014-09.

912-605-25-20 Paragraph superseded by Accounting Standards Update No. 2014-09.

912-605-25-21 Paragraph superseded by Accounting Standards Update No. 2014-09.

912-605-25-22 Paragraph superseded by Accounting Standards Update No. 2014-09.

912-605-25-23 Paragraph superseded by Accounting Standards Update No. 2014-09.

912-605-25-24 Paragraph superseded by Accounting Standards Update No. 2014-09.

912-605-25-25 Paragraph superseded by Accounting Standards Update No. 2014-09.

912-605-25-26 Paragraph superseded by Accounting Standards Update No. 2014-09.

912-605-25-27 Paragraph superseded by Accounting Standards Update No. 2014-09.

912-605-25-28 Paragraph superseded by Accounting Standards Update No. 2014-09.

912-605-25-29 Paragraph superseded by Accounting Standards Update No. 2014-09.

912-605-25-30 Paragraph superseded by Accounting Standards Update No. 2014-09.

912-605-25-31 Paragraph superseded by Accounting Standards Update No. 2014-09.

912-605-25-32 Paragraph superseded by Accounting Standards Update No. 2014-09.

912-605-25-33 Paragraph superseded by Accounting Standards Update No. 2014-09.

912-605-25-34 Paragraph superseded by Accounting Standards Update No. 2014-09.

912-605-25-35 Paragraph superseded by Accounting Standards Update No. 2014-09.

912-605-25-36 Paragraph superseded by Accounting Standards Update No. 2014-09.

912-605-25-37 Paragraph superseded by Accounting Standards Update No. 2014-09.

912-605-25-38 Paragraph superseded by Accounting Standards Update No. 2014-09.

50 Disclosure

General Note:The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

912-605-50-1 Paragraph superseded by Accounting Standards Update No. 2014-09.

912-605-50-2 Paragraph superseded by Accounting Standards Update No. 2014-09.

912 Contractors—Federal Government

705 Cost of Sales and Services

00 Status

General Note: The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

912-705-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
912-705-05-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
912-705-15-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
912-705-25-1 through 25-3	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
912-705-50-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

912-705-05-1 Paragraph superseded by Accounting Standards Update No. 2014-09.

15 Scope and Scope Exceptions

General Note:The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General Note for Financial Instruments:Some of the items subject to the guidance in this Subtopic are financial instruments. For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic 825. See Section 825-10-15 for guidance on the scope of the Financial Instruments Topic.

General

912-705-15-1 Paragraph superseded by Accounting Standards Update No. 2014-09.

25 Recognition

General Note:The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General Note for Fair Value Option:Some of the items subject to the guidance in this Subtopic may qualify for application of the Fair Value Option Subsections of Subtopic 825-10. Those Subsections (see paragraph 825-10-05-5) address circumstances in which entities may choose, at specified election dates, to measure eligible items at fair value (the fair value option). See Section 825-10-15 for guidance on the scope of the Fair Value Option Subsections of the Financial Instruments Topic.

General

912-705-25-1 Paragraph superseded by Accounting Standards Update No. 2014-09.

912-705-25-2 Paragraph superseded by Accounting Standards Update No. 2014-09.

912-705-25-3 Paragraph superseded by Accounting Standards Update No. 2014-09.

50 Disclosure

General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

912-705-50-1 Paragraph superseded by Accounting Standards Update No. 2014-09.

912 Contractors—Federal Government

715 Compensation—Retirement Benefits

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

912-715-05-1 This Subtopic provides guidance to government contractors related to compensation and postretirement employee benefit costs.

15 Scope and Scope Exceptions

General Note:The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

912-715-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section 912-10-15.

50 Disclosure

General Note:The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

> Contractors' Compensation and Postretirement Employee Benefit Costs

912-715-50-1 Contractors shall consider disclosing the effect, if any, of the government's rights with respect to any excess pension plan assets in the event of a plan termination.

912 Contractors—Federal Government 730 Research and Development

00 Status

General Note: The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

912-730-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Contracts	Added	Accounting Standards Update No. 2014-09	05/28/2014
Customer	Added	Accounting Standards Update No. 2014-09	05/28/2014
Revenue	Added	Accounting Standards Update No. 2014-09	05/28/2014
912-730-15-2	Amended	Accounting Standards Update No. 2014-09	05/28/2014
912-730-15-3	Amended	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

912-730-05-1 This Subtopic provides guidance to government contractors related to identifying research and development activities included in government contracts and the accounting for such activities.

> Best-Efforts-Basis, Research-and-Development-Cost-Sharing Arrangements

912-730-05-2 Contractors may enter into contractual arrangements in which the customer agrees to share the estimated costs of certain research and development activities, for example, the development of a prototype for new or advanced weapons systems. In arrangements to perform on a best-efforts basis, the contractor benefits from both lower net research and development costs and the retention of rights to the research and development results. The knowledge gained from such research and development activities may be used by the contractor in future production activities, including follow-on contracts for full-scale production of products based on the prototypes or models developed during the research and development phase. At the same time, the customer benefits from the arrangement by receiving a nonexclusive right to the results of the research and development effort. Consequently, the customer is able to encourage the contractor to focus its research and development efforts on activities important to the customer's long-range, strategic objectives in areas such as national defense.

15 Scope and Scope Exceptions

ⓘ **General Note:**The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

912-730-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section 912-10-15, with specific instrument qualifications noted below.

> Instruments

912-730-15-2 This Subtopic applies only to contractual arrangements meeting all of the following conditions:

a. The activities performed in connection with the contractual arrangement qualify as research and development (see Subtopic 730-10).

b. The contractor retains a right to the data and results of the research and development activities.

c. The contractual arrangement obligates the contractor to perform only on a best-efforts basis to achieve the agreed-on objectives of the research and development activity, rather than to deliver a product or service meeting defined performance or other (such as design) specifications.

d. At the inception of the contract, the contractor and the customer enter into the arrangement with the expectation that costs will be incurred in excess of amounts to be funded. This condition will be met if contractual or other documentation specifically evidences acknowledgment of this expectation by both the contractor and the customer. Implicit in this condition is the existence of significant uncertainty at the date the contractor enters into the arrangement regarding the likelihood of successfully securing follow-on contracts related to the research and development activity.

e. The research and development arrangement is not combined with other contracts in accordance with the guidance on combining contracts in paragraph 606-10-25-9.

f. The federal government is the sole or principal expected ultimate customer (including foreign military sales) for the research and development activity or products directly resulting from the research and development activity subject to the arrangements.

912-730-15-3 Contractual arrangements meeting all of the conditions in the preceding paragraph differ from contracts with customers addressed in Topic 606 on revenue from contracts with customers. Such activities are research and development as discussed in paragraph 730-10-15-4(c).

20 Glossary

ⓘ **General Note**:The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Contract

An agreement between two or more parties that creates enforceable rights and obligations.

Customer

A party that has contracted with an entity to obtain goods or services that are an output of the entity's ordinary activities in exchange for consideration.

Revenue

Inflows or other enhancements of assets of an entity or settlements of its liabilities (or a combination of both) from delivering or producing goods, rendering services, or other activities that constitute the entity's ongoing major or central operations.

25 Recognition

ⓘ **General Note**:The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

> Best-Efforts-Basis, Research-and-Development-Cost-Sharing Arrangements

912-730-25-1 Best-efforts-basis, research-and-development-cost-sharing arrangements within the scope of this Subtopic (see paragraph 912-730-15-2) shall be recognized as research and development expense as incurred in conformity with Topic 730. Because of the cost-sharing nature of these fixed-price, best-efforts-basis, research-and-development-cost-sharing arrangements, the amounts funded by the customer shall be recognized as an offset to the contractor's aggregate research and development expense rather than as contract revenues. Example 1 (see paragraphs 912-730-55-1 through 55-3) illustrates the application of this guidance.

55 Implementation Guidance and Illustrations

General Note: The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

> Illustrations

· > Example 1: Accounting Entries for Recording Research and Development Costs

912-730-55-1 This Example illustrates the application of the guidance in paragraph 912-730-25-1 to research and development costs under a best-efforts-basis, research-and-development-cost-sharing arrangement.

912-730-55-2 This Example has the following assumptions:

a. Estimated aggregate cost to be incurred by contractor in the specified research and development activity: $150

b. Anticipated reimbursement from customer: $100

c. As of the current reporting date 50 percent of the estimated aggregate costs have been incurred

d. Customer has paid 30 percent of its pro rata funding.

912-730-55-3 The following table illustrates how to record expenditures for research and development in connection with the XYZ project.

Accounting Entries

Research and Development Expense	$ 75	
Cash		$ 75
To record expenditures for research and development in connection with the XYZ project.		
Receivable	35	
Cash	15	
Research and Development Expense		50
To record amounts receivable and collections of receivables from customer in connection with the XYZ project.		

912 Contractors—Federal Government
835 Interest

00 Status

ⓘ **General Note**:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

912-835-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Contract	Added	Accounting Standards Update No. 2014-09	05/28/2014
Customer	Added	Accounting Standards Update No. 2014-09	05/28/2014
Revenue	Added	Accounting Standards Update No. 2014-09	05/28/2014
912-835-25-1 through 25-3	Amended	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

ⓘ **General Note**:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

912-835-05-1 This Subtopic provides guidance to government contractors related to capitalization of interest.

15 Scope and Scope Exceptions

ⓘ **General Note**:The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

912-835-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section 912-10-15.

20 Glossary

ⓘ **General Note**:The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Contract

An agreement between two or more parties that creates enforceable rights and obligations.

Customer

A party that has contracted with an entity to obtain goods or services that are an output of the entity's ordinary activities in exchange for consideration.

Performance Obligation

A promise in a contract with a customer to transfer to the customer either:

a. A good or service (or a bundle of goods or services) that is distinct

b. A series of distinct goods or services that are substantially the same and that have the same pattern of transfer to the customer.

Revenue

Inflows or other enhancements of assets of an entity or settlements of its liabilities (or a combination of both) from delivering or producing goods, rendering services, or other activities that constitute the entity's ongoing major or central operations.

25 Recognition

General Note:The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

> Capitalization of Interest Cost on Federal Government Contracts

912-835-25-1 Some government contracts may appear to qualify for capitalization of interest costs (see Subtopic 835-20). However, paragraph 835-20-15-6 proscribes interest capitalization for assets employed in the earnings activities of an entity. Because many contractors recognize revenue over time in accordance with the guidance on the transfer of control in paragraphs 606-10-25-27 through 25-29, measuring progress toward complete satisfaction of a performance obligation in accordance with paragraphs 606-10-25-31 through 25-37 as the related asset is being constructed, the asset is considered to be employed in the earnings activities of the contractor. Further, many contracts with customers require the manufacture of inventories that are routinely manufactured or otherwise produced in large quantities on a repetitive basis, for which interest capitalization is considered to be inappropriate. Accordingly, government contractors shall exclude capitalized interest from long-term contracts with customers that are performed over time in accordance with the guidance on the transfer of control in paragraphs 606-10-25-27 through 25-29.

912-835-25-2 When revenue is recognized at a point in time in accordance with the guidance on the transfer of control in paragraph 606-10-25-30, costs may be recognized as an asset in accordance with the guidance on costs to fulfill a contract in Subtopic 340-40. If costs are recognized as an asset accordingly, such costs incurred on a discrete project are qualifying assets when activities are underway to bring the asset to the condition and location necessary for its intended use.

912-835-25-3 If a contractor recognizes revenue at a point in time in accordance with the guidance on the transfer of control in paragraph 606-10-25-30 and bills all costs currently, its investment in the asset shall be limited to uncollected receivables. Such uncollected amounts shall be reduced by related non-interest-bearing liabilities, such as accounts and wages payable and accrued payroll taxes. Significant fluctuations in both outstanding receivables and accrued costs may require accumulation for each contract on a daily basis to reasonably determine the amount of such costs qualifying for interest capitalization.